

Result Update

Q3 FY26

HDFC Bank Ltd.

Institutional
Research

Steady earnings growth; margins stable, asset quality remains resilient

Operational Metrics

- ⇒ Net Interest Income (NII) stood at Rs. 32,615 crores in Q3FY26, up 6.4% (YoY)/ 3.4% (QoQ), supported by balance sheet growth and stable spreads. Core NIM stood at 3.35% (vs 3.4% YoY/ 3.3% QoQ) on total assets.
- ⇒ Other income for the quarter was Rs. 13,254 crores reflecting an 15.7% (YoY)/ -7.6% (QoQ) growth, driven by fees & commissions of Rs. 9,230 crores (+13% YoY), supported by healthy transaction volumes, partly offset by lower miscellaneous income.
- ⇒ Operating expenses were at Rs. 18,771 crores, up 8.9% (YoY)/ flat (QoQ), reflecting investments in distribution, technology and people. Excluding the Rs. 800 crore impact of the New Labour Code, core cost pressures remained contained, with core cost-to-income ratio at 39.2%.
- ⇒ Profit before tax (PBT) stood at Rs. 24,260 crores, while standalone PAT grew 11.5% (YoY)/ flat (QoQ) to Rs. 18,654 crores, reflecting steady operating performance and controlled credit costs.

Asset Quality

- ⇒ Gross NPA ratio stood at 1.24%, stable QoQ and improved 18bps YoY, while Net NPA ratio stood at 0.42% an improvement of 4bps YoY, indicating resilient asset quality.
- ⇒ Provisions and contingencies for the quarter were Rs. 2,838 crores, after a release of Rs. 1,040 crores of contingent provisions, with credit cost (ex-release) at 0.55%, remaining benign.
- ⇒ Capital Adequacy Ratio (CAR) remained strong at 19.9%, with CET-1 at 17.4%, providing growth headroom.

Balance Sheet Metrics

- ⇒ Gross advances stood at Rs. 28.45 lakh crores, up 12.0% (YoY)/ 2.7% (QoQ), led by SME loans (+17.2% YoY) and corporate & wholesale loans (+10.3% YoY), while retail loans grew 6.9% YoY.
- ⇒ Deposits stood at Rs. 28.60 lakh crores, up 11.6% (YoY)/ 2.1% (QoQ), with CASA deposits growing 10.1% YoY. CASA ratio stood at 33.6%, reflecting stable funding mix.

Subsidiaries

- ⇒ HDB Financial Services reported PAT of Rs. 640 crores (+36% YoY) with a loan book of Rs. 1.15 lakh crores; HDFC Life reported PAT of Rs. 420 crores; HDFC ERGO reported PAT of Rs. 260 crores; HDFC Asset Management Company reported PAT of Rs. 770 crores; and HDFC Securities reported PAT of Rs. 220 crores. Consolidated PAT for Q3FY26 stood at Rs. 19,806 crores, up 12.2% YoY.

Branch & ATM Network

- ⇒ The Bank's distribution network stood at 9,616 branches and 21,176 ATMs across 4,170 cities and towns, with ~50% of branches in semi-urban and rural areas.

Key Highlights

Particulars (Rs. crores)	Q3FY26	Q2FY26	QoQ (%)	Q3FY25	YoY (%)
Net Interest Income	32,615	31,552	3.4%	30,653	6.4%
PPOP	27,098	27,924	-3.0%	25,000	8.4%
Net Profit	18,654	18,641	0.1%	16,736	11.5%
NIM (%)	3.35%	3.30%	5bps	3.40%	-5bps
RoA (%)	1.92%	1.96%	-4bps	1.88%	4bps
GNPA (%)	1.24%	1.24%	0bps	1.42%	-18bps
NNPA (%)	0.42%	0.42%	0bps	0.46%	-4bps
CASA (%)	33.61%	33.87%	-27bps	34.04%	-43bps

Source: Company, BP Equities Research

Sector Outlook

Positive

Stock

CMP (Rs.)	931
BSE code	500180
NSE Symbol	HDFCBANK
Bloomberg	HDFCC IN
Reuters	HDBK.BO

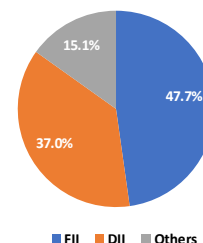
Key Data

Nifty	25,694
52 Week H/L (Rs.)	1,021/813
O/s Shares (Mn)	1,539
Market Cap (Rs. bn)	14,32,535
Face Value (Rs.)	1

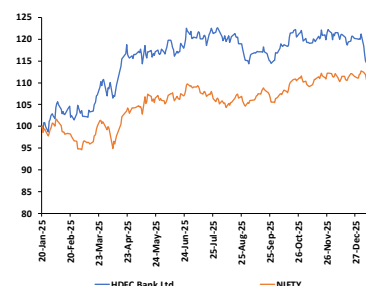
Average Volume

3 months	21,360,598
6 months	18,156,570
1 year	14,816,472

Share Holding (%)



Relative Price Chart



Research Analyst

Viraj U. Patil
viraj.patil@bpwealth.com
+022-61596138

Valuation and Outlook

HDFC Bank's Q3FY26 performance was largely in line with expectations, reflecting a phase of consolidation rather than momentum. Earnings growth was driven largely by balance sheet expansion and benign credit costs, but limited operating leverage. While asset quality and capital buffers remain strong, key earnings drivers such as margins, CASA accretion and retail loan growth showed little sequential improvement, keeping overall performance within expectations. Loan growth continues to skew toward SME and wholesale segments, while retail growth remains subdued, suggesting that growth quality remains stable, rather than accelerating. Deposit mobilisation remained healthy, though the pace of CASA improvement remains gradual, implying that funding cost pressures are unlikely to ease meaningfully in the near term. **Looking ahead, earnings visibility remains high but upside catalysts appear limited, with profitability expected to track balance sheet growth rather than benefit from margin expansion or operating leverage. The bank's performance in coming quarters will hinge on revival in retail credit momentum, CASA traction and cost efficiency gains.**

"The CD ratio will continue on a downward glide path, driven by internal sustainability rather than regulatory requirements."

Key concall highlights

Loan–Deposit Ratio (LDR) & Funding

- ⇒ Management reiterated a downward LDR glide path, with comfort toward the low-90s over the next 1-2 years; LDR remains an internal metric, not regulatory.
- ⇒ Deposit strategy remains focused on granular retail mobilisation, with restraint on aggressive bulk deposit pricing.

"Deposit growth will be led by granular retail mobilisation, with strict rate discipline and no aggressive bulk pricing."

Deposits & Branch Productivity

- ⇒ Retail individual deposits grew at a double-digit pace, while institutional and non-individual retail deposits grew at single digits, reflecting rate discipline.
- ⇒ Average deposits per branch improved to ~Rs. 305 crores, with newer branches contributing 20%+ of incremental deposits.

Margins & Cost of Funds

- ⇒ Cost of funds declined 10-11 bps QoQ, driven by lagged time-deposit repricing and lower borrowings.
- ⇒ Margin improvement expected to be gradual, supported by repricing benefits and incremental CASA gains.

"Margins are expected to improve gradually, supported by easing cost of funds, though sharp expansion is unlikely in the near term."

Labour Code Impact

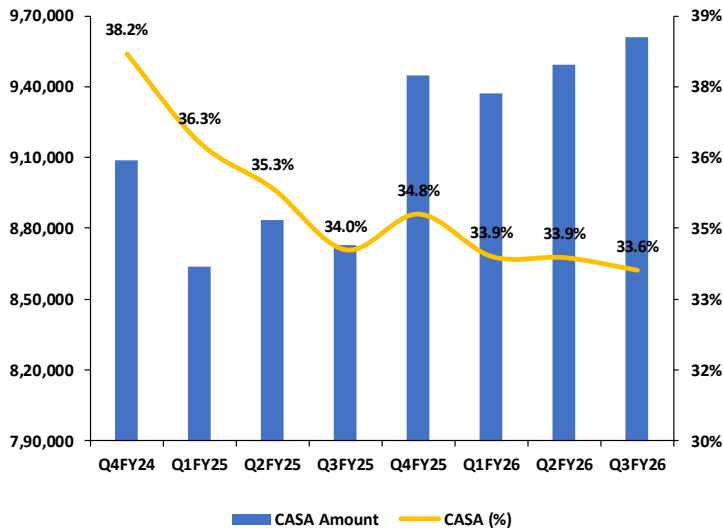
- ⇒ The Rs. 800 crore labour code impact is a high-level actuarial estimate based on current assumptions.
- ⇒ Final impact remains uncertain pending rule-making clarity, with no guidance on recurring costs.

Growth Outlook

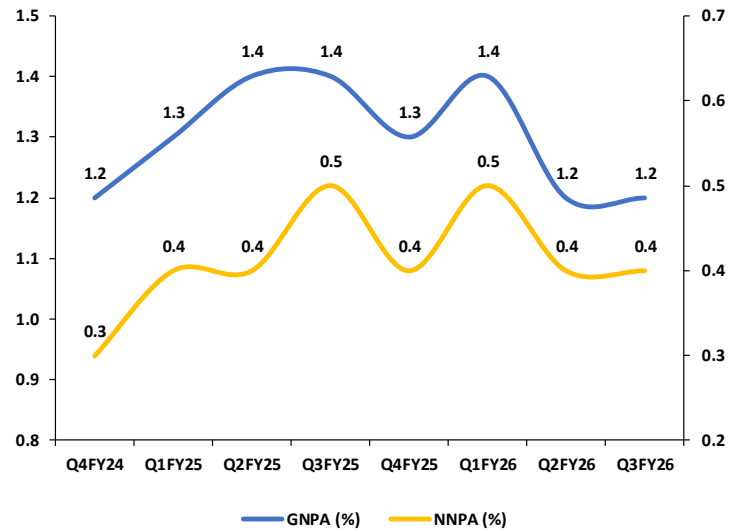
- ⇒ Management expects system credit growth of ~12-13% and guided for above-system growth in FY27.
- ⇒ Competitive intensity in home and auto loans acknowledged, but seen as unsustainable over the medium term.

Quarterly Snapshot (Rs. crores)

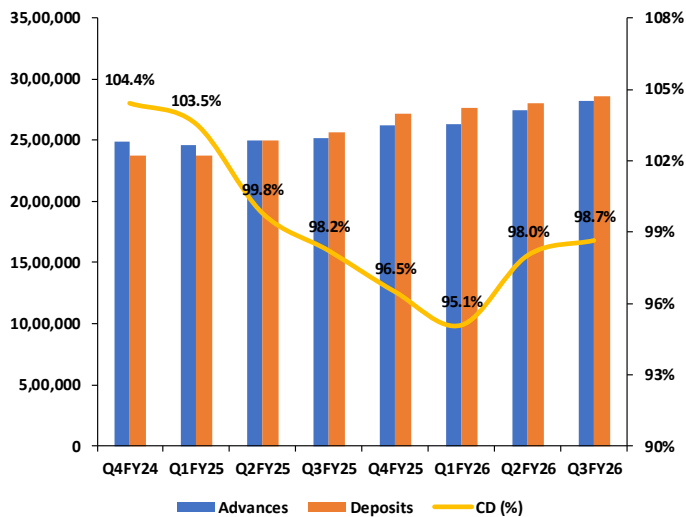
CASA



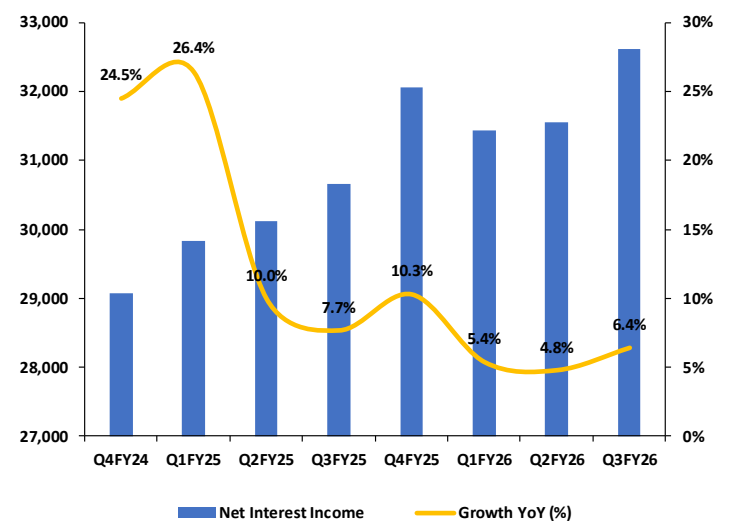
NPA Ratios (%)



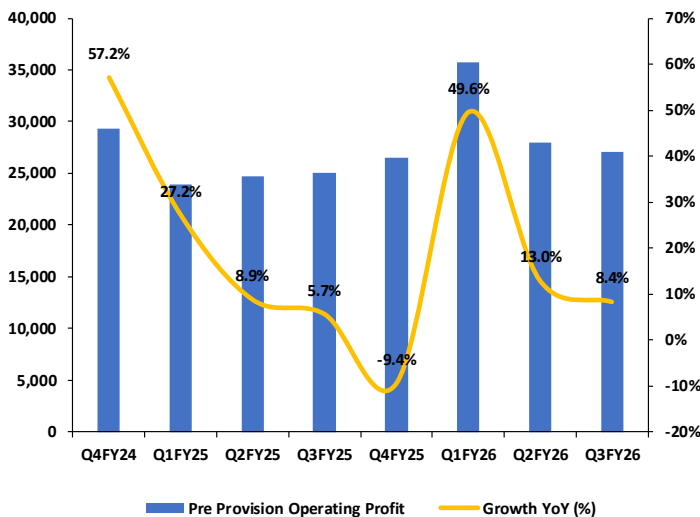
CD Ratio (%)



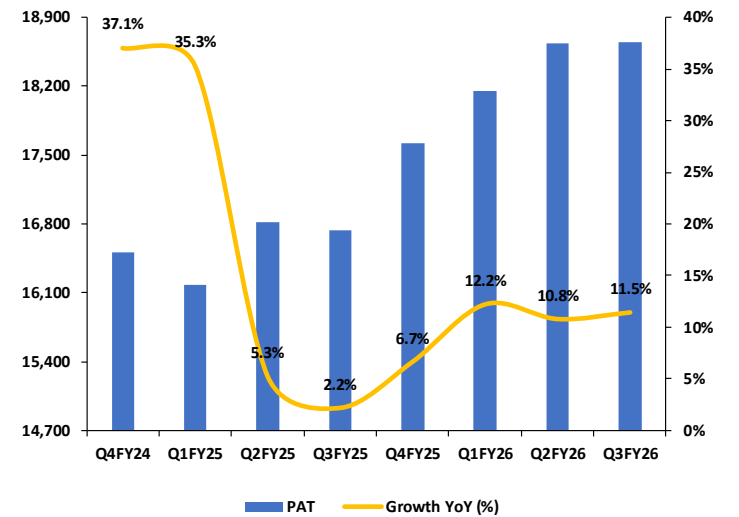
Net Interest Income



Pre-Provision Operating Profit



Profit After Tax



Key Financials

YE March (Rs. crores)	FY21	FY22	FY23	FY24	FY25
Net Interest Income	64,880	72,010	86,842	1,08,532	1,22,670
<i>Growth %</i>	<i>15.5%</i>	<i>11.0%</i>	<i>20.6%</i>	<i>25.0%</i>	<i>13.0%</i>
PPOP	57,362	64,077	70,405	94,387	1,00,127
<i>Growth%</i>	<i>17.7%</i>	<i>11.7%</i>	<i>9.9%</i>	<i>34.1%</i>	<i>6.1%</i>
Net Profit	31,117	36,961	44,109	60,812	67,347
<i>Growth %</i>	<i>18.5%</i>	<i>18.8%</i>	<i>19.3%</i>	<i>37.9%</i>	<i>10.7%</i>
EPS	28.2	33.3	39.5	40.0	44.0

Profitability & Valuation

NIM (%)	3.8%	3.6%	3.8%	3.2%	3.3%
RoA (%)	1.9%	1.9%	1.9%	2.0%	1.8%
RoE (%)	16.6%	16.7%	17.0%	17.0%	14.4%
BV per Share (Rs.)	184.8	216.2	250.1	288.0	325.1
P/E (x)	26.5x	22.1x	20.4x	18.1x	20.8x
P/BV (x)	4.0x	3.4x	3.2x	2.5x	2.8x
Cost to Income (%)	39.7%	40.5%	40.1%	40.1%	38.6%

Key Operating Metrics

CASA (%)	46.1%	48.2%	44.4%	38.2%	34.8%
CASA Amount	6,15,682	7,51,049	8,35,989	9,08,763	9,44,560
Deposits	13,35,060	15,59,217	18,83,395	23,79,786	27,14,715
<i>Growth (%)</i>	<i>16.3%</i>	<i>16.8%</i>	<i>20.8%</i>	<i>26.4%</i>	<i>14.1%</i>
Advances	11,32,837	13,68,821	16,00,586	24,84,862	26,19,609
<i>Growth (%)</i>	<i>14.0%</i>	<i>20.8%</i>	<i>16.9%</i>	<i>55.2%</i>	<i>5.4%</i>
Credit/Deposits (%)	84.9%	87.8%	85.0%	104.4%	96.5%

Source: Company, BP Equities Research

Disclaimer Appendix

Analyst (s) holding in the Stock : Nil**Analyst (s) Certification:**

We analysts and the authors of this report, hereby certify that all of the views expressed in this research report accurately reflect our personal views about any and all of the subject issuer (s) or securities. We also certify that no part of our compensation was, is, or will be directly or indirectly related to the specific recommendation (s) or view (s) in this report. Analysts aren't registered as research analysts by FINRA and might not be an associated person of the BP Equities Pvt. Ltd. (Institutional Equities).

General Disclaimer

This report has been prepared by the research department of BP EQUITIES Pvt. Ltd, is for information purposes only. This report is not construed as an offer to sell or the solicitation of an offer to buy or sell any security in any jurisdiction where such an offer or solicitation would be illegal.

BP EQUITIES Pvt. Ltd have exercised due diligence in checking the correctness and authenticity of the information contained herein, so far as it relates to current and historical information, but do not guarantee its accuracy or completeness. The opinions expressed are our current opinions as of the date appearing in the material and may be subject to change from time to time. Prospective investors are cautioned that any forward looking statement are not predictions and are subject to change without prior notice.

Recipients of this material should rely on their own investigations and take their own professional advice. BP EQUITIES Pvt. Ltd or any of its affiliates or employees shall not be in any way responsible for any loss or damage that may arise to any person from any inadvertent error in the information contained in this report. BP EQUITIES Pvt. Ltd. or any of its affiliates or employees do not provide, at any time, any express or implied warranty of any kind, regarding any matter pertaining to this report, including without limitation the implied warranties of merchantability, fitness for a particular purpose, and non-infringement. The recipients of this report should rely on their own investigations.

BP EQUITIES Pvt. Ltd and/or its affiliates and/or employees may have interests/ positions, financial or otherwise in the securities mentioned in this report. Opinions expressed are our current opinions as of the date appearing on this material only. While we endeavor to update on a reasonable basis the information discussed in this material, there may be regulatory, compliance, or other reasons that prevent us from doing so.

This report is not directed to or intended for display, downloading, printing, reproducing or for distribution to or use by any person in any locality, state and country or other jurisdiction where such distribution, publication or use would be contrary to the law or regulation or would subject to BP EQUITIES Pvt. Ltd or any of its affiliates to any registration or licensing requirement within such jurisdiction.

Corporate Office:

4th floor,
Rustom Bldg,
29, Veer Nariman Road, Fort,
Mumbai-400001
Phone- +91 22 6159 6464
Fax-+91 22 6159 6160
Website- www.bpwealth.com

Registered Office:

24/26, 1st Floor, Cama Building,
Dalal street, Fort,
Mumbai-400001

BP Wealth Management Pvt. Ltd.
CIN No: U67190MH2005PTC154591

BP Equities Pvt. Ltd.
CIN No: U67120MH1997PTC107392